

POWER, AUTHORITY AND DELEGATION

Power

Power is the ability or potentials of a person to influence another person or a group to perform an act. **It is the ability to influence events.**

Power can be personal power. A person gets his personal power from his personality or from his expert knowledge. Doctors, lawyers, engineers, etc. get their power from their expertise and professional knowledge.

Power can also be legitimate or official power. This power comes from a higher authority.

In an organization manager exert power on subordinates. Again subordinates can also exert power on his boss by useful suggestions.

Five bases of power

In 1959, social psychologists John R. P. French and Bertram H. Raven identified five sources or forms of power from which a person gets power. These sources are now known as French and Raven's Five Bases of Power. The French and Raven's five bases of power are briefly explained as follows:-

- ✓ **Referent power:** Referent power is also called as **personal power and the power of personality**. This power comes from each leader individually. It is the personality of a person that attracts followers. People follow because they are influenced or attracted by **the magnetic personality of the leader**. The followers admire their leaders and may even try to copy their behavior, dress, etc. John F. Kennedy, Martin Luther King, and Mahatma Gandhi are the examples of leaders with referent power.

Five bases of power

- ✓ **Legitimate power (formal authority):** Legitimate power is also known as **position power and official power**. It comes from the higher authority. In an organization, **a manager gets power because of his position or post**. It gives him the power to control resources and to reward and punish others. For e.g. a chief executive officer (C.E.O) of a company gets legitimate powers because of the position which he holds, Guard can require ID even from the president.
- ✓ **Expert power:** Expert power is also known as the **power of knowledge**. It comes from expert knowledge and skills. Expert power means the expert influences another person's behavior. **This is because the expert has knowledge and skill** which the other person needs but does not possess. Persons like **doctors, lawyers, accountants**, etc., have expert power because they have expert knowledge and skills, which others require.

Five bases of power

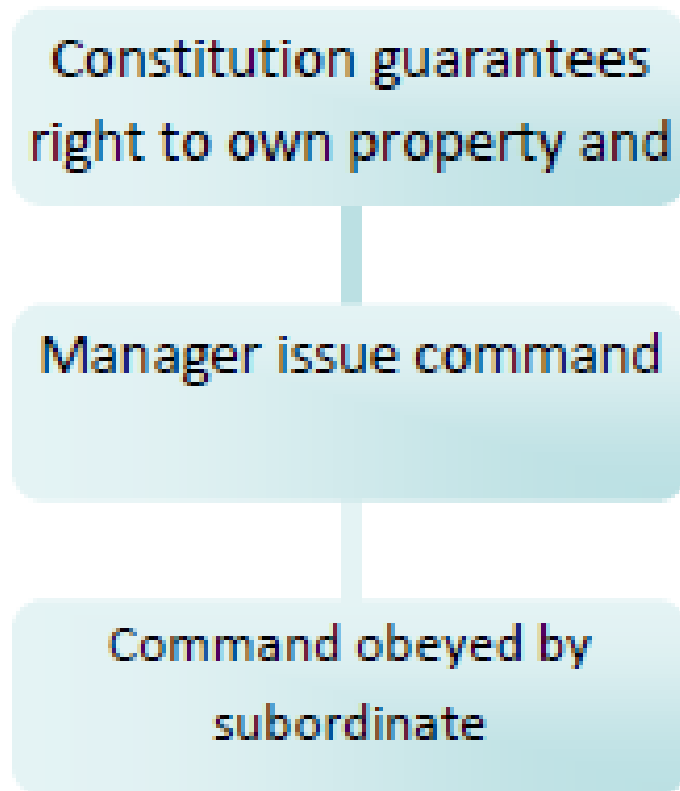
- ✓ **Coercive power:** Coercive power is the ability to punish others or to pose a threat to others. **Coercive power uses fear as a motivator.** The leaders or managers with **coercive powers can threaten an employee's job security, cut his pay, withdraw certain facilities, suspend him, etc.** The coercive power may have an impact in the short-run. It will create a negative impact on the receiver.
- ✓ **Reward power:** Reward power is **opposite to coercive power.** With the help of reward power, the leader tries to motivate the followers to improve their performance. **This power enables the leader to provide additional facilities, increase in pay, promotion of the subordinates,** etc. The reward power also enables the leader to recognize the services of the subordinate through appreciation.

Authority

- ❑ **Authority** is a form of power. Authority is often used more broadly to refer to a person's ability to exert power.
- ❑ Authority It is the **formal right** given to a manager to command or to give orders to perform a certain task.
- ❑ Authority is given to a manager to **achieve the objectives** of the organization.
- ❑ It is a right to **get the things done through others**. It is a right to take **decisions**.
- ❑ A manager **cannot do his work** without authority.
- ❑ A manager gets his authority from **his position or post** to give orders and expect them to be obeyed. He gets his authority from the higher authorities. The lower and middle-level managers get their authority from the top-level managers. The top-level managers get their authority from the shareholders.
- ❑ Authority always flows **downwards**. It is delegated from the top to the bottom.

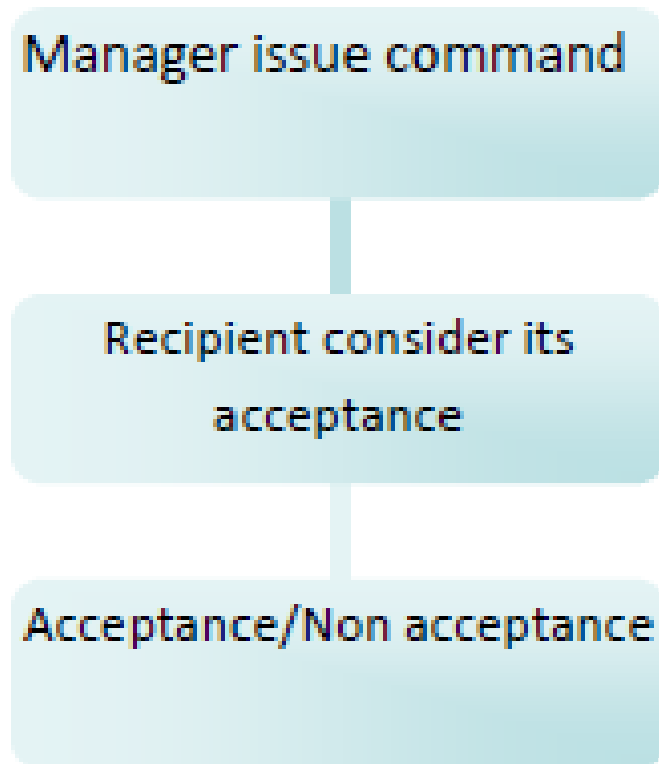
Classical view of formal authority

- Authority originates at very high level and then lawfully passed down from level to level.



Acceptance view of Formal authority

- ❑ Not all legitimate orders or commands are obeyed at all circumstances. **Some are accepted by the receiver, some are not.** Receiver decides **whether to comply or not.**



Acceptance view of Formal authority

- ❑ **Chester I. Barnard** defined some conditions under which one will comply with the command of higher authority:
 - ❑ He can **understand** the command.
 - ❑ At the time of decision he believes that, it is **not inconsistent** with the purpose of the organization.
 - ❑ At the time of decision he believes that, it is **compatible** with his personal interest.
 - ❑ He is **physically and mentally able** to comply with it.

Difference between – Power and Authority

In management 'authority' differs from the 'power' in the following ways:

1. Nature

- ❖ Authority is the **formal** right given to a manager to make decisions or to command.
- ❖ Power is the **personal ability** to influence others or events.

2. Flow

- ❖ Authority flows **downwards** in the organization. This is because it is delegated by the superiors to the subordinates.
- ❖ Power can flow **in any direction**. Even subordinates have power over their superiors, if they can influence their behavior. So power can flow upwards, downwards or horizontally.

3. Organizational Charts

- ❖ Authority relationships (superior-subordinate relationships) can be shown in the organization charts.
- ❖ Power relationships cannot be shown in organization charts.

Difference between – Power and Authority

4. Level of Management

- ❖ Authority depends on the **level of management**. Higher the level of management, higher will be the authority and vice-versa.
- ❖ Power does not depend on the **level of management**. Power can exist at any level of management. Even a lower-level manager or a worker can have power to influence the behavior of a top-level manager.

5. Legitimacy

- ❖ Authority is always official in nature. So it is legitimate.
- ❖ Power need not be official in nature. So it need not be legitimate.

6. Position and Person

- ❖ Authority is given to a position or post. The manager gets the authority only when he holds that position.
- ❖ Power resides (lives) in the person who uses it.

Delegation

Delegation is the act of assigning formal authority to the subordinate to carry out specific activity.

Advantages of Delegation

- ❑ The more tasks the manager delegate the **more opportunity they have to seek higher responsibilities.**
- ❑ Delegation cause employee to **accept accountability and exercise judgment.**
- ❑ Delegation not only helps to **train them but also improves their self confidence and willingness to take initiative.**
- ❑ Delegation **leads to better decision making** as employee have clear view of the fact.
- ❑ Effective delegation **speeds up decision making process** because delay is eliminated when employee is authorized to take necessary steps.

Prerequisite of delegation

☐ **Willingness of manager**

- ☐ Give employee freedom
- ☐ Let them choose methods that is different than his
- ☐ Give freedom to make mistakes
- ☐ Mistakes are not viewed as excuse to stop delegation
- ☐ Opportunity to offer training

☐ **Open communication between employee and manager**

- ☐ Manager need to know the capabilities of employee
- ☐ Manager need to encourage their ability and back them up

☐ **Manager's ability to analyze and understand the factors**

- ☐ Organizational goal
- ☐ Capability of employee
- ☐ Task's requirements

Delegation and Decentralization

Basis	Delegation	Decentralization
Meaning	Managers delegate some of their function and authority to their subordinates.	Right to take decisions is shared by top management and other level of management.
Scope	Scope of delegation is limited as superior delegates the powers to the subordinates on individual bases.	Scope is wide as the decision making is shared by the subordinates also.
Responsibility	Responsibility remains of the managers and cannot be delegated	Responsibility is also delegated to subordinates.
Freedom of Action	Very little freedom to the subordinates	Considerable freedom

Delegation and Decentralization

Basis	Delegation	Decentralization
Need on purpose	Delegation is important in all concerns whether big or small. No enterprises can work without delegation.	Decentralization becomes more important in large concerns and it depends upon the decision made by the enterprise, it is not compulsory.
Authority	The authority is granted by one individual to another.	It is a systematic act which takes place at all levels and at all functions in a concern.
Process	Delegation is a process which explains superior subordinates relationship	It is an outcome which explains relationship between top management and all other departments.
Significance	Delegation is essential for creating the organization	Decentralization is an optional policy at the discretion of top management.

Conflict

Conflict is... The interaction of interdependent people who perceive incompatible goals and interference from each other in achieving those goals.

Organizational conflict-The discord that arises when **goals, interests or values** of different individuals or groups are incompatible and those people **block each other's efforts** to achieve their objectives.

Conflict is:

- ▣ Inevitable
- ▣ Essential
- ▣ Useful

Conflict

Advantages of Conflict

- ❑ Diffuse more serious conflicts
- ❑ Stimulate search for new facts or solutions
- ❑ Enhance relationships
- ❑ Increase cohesiveness

Conflict should be managed but not eliminated

Disadvantages of Conflict

- ❑ Time consuming
- ❑ Disrupts progress
- ❑ Detracts from job at hand
- ❑ Keeps people apart; if unresolved
- ❑ Poor quality, lowers productivity
- ❑ Reduces team effectiveness

Types of Conflict

- ❑ Between two individuals
- ❑ Within a team of individuals
- ❑ Between two or more teams within an organization
- ❑ Between two or more organizations



Conflict Management Strategies

Conflict has many sources in the workplace. It is borne out of differences and will arise in any required to interact with one another. Dealing with conflict effectively is a key management skill. This article outlines five different approaches to conflict management and the situations they are most appropriate for.

1. Accommodation

One party simply gives in to the other party. This is a **lose/win** situation. The accommodation approach is generally used when one party is **willing to loss** their position. It is best used in situations where:

- One party wishes to indicate a degree of fairness
- People wish to encourage others to express their own opinion.
- The issue or problem is more important to the other party concerned.
- It is more important to safe guard the relationship rather than argue about the issue.

Conflict Management Strategies

2. Compromise

This is also a **win/lose** situation. Each party is concerned about their goal accomplishment and is willing to engage in give-and-take exchange to reach a reasonable solution. Each will win some of what they desire while at the same time giving something up. The main goal of this approach is to find common ground and maintain the relationship. Compromise is best used:

- To achieve an agreement when all parties **have equal power**.
- To reach a temporary resolution in more complicated matters.
- To achieve a settlement when time or other circumstances are constrained.

Conflict Management Strategies

3. Collaboration

1. This is a **win/ win** situation. It is the most effective but most difficult way of managing differences. Parties try to handle the conflict without making concessions by coming up **with a new way to resolve their differences that leaves them both better off**. It requires trust and commitment on all sides to reach a resolution by getting to the heart of the problem. All parties need to be willing to empathize and try to understand each other's situation. Collaboration is most appropriate:
 1. When all parties are willing to investigate alternative solutions together that they may not necessarily have thought of on their own.
 2. When trying to get to the source of problems that have continued for a long time.
 3. when upholding objectives that cannot be compromised on any side while still preserving the relationship.
 4. When parties from different backgrounds and experiences are involved.

Conflict Management Strategies

4. Avoidance

Two parties try to ignore the problem and do nothing to resolve the disagreement. This Is A **Lose/Lose** Situation. Neither Party Takes Action To Address The Issues Involved In The Conflict, Meaning That It Will Remain Unresolved. This Approach Is Best Used:

- ☐ **If all concerned feel that the issue is a minor one and will be resolved in time without any fuss.**
- ☐ **When the parties need a chance to cool down and spend time apart.**
- ☐ If other people are able to resolve the conflict more effectively than the parties concerned.
- ☐ When more time is needed before thinking about dealing with the issue.
- ☐ If the impact of dealing with the situation may be damaging to all parties involved

Conflict Management Strategies

5. Competition

This is a **win/lose** situation. **One party attempts to win the conflict through dominance and power.** Each party tries to maximize its own gain and has little interest in understanding the other's position. The approach is best used:

- ❑ **When all other methods have been tried (and failed).**
- ❑ In emergency situations when quick, immediate and decisive action is called for.
- ❑ In situations where unpopular changes need to be applied and discussion is not appropriate.